

Employing in Nigeria

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Nigerian Labour Act
- **Monthly payroll** — salary payments in NGN, itemised payslips
- **Tax withholding** — PAYE income tax withheld and remitted to the relevant State Internal Revenue Service
- **PENCOM, NSITF & NHIS** — pension, workplace injury and health insurance contributions
- **Leave and termination management** — notice periods and entitlements guidance

Employment Conditions

Contracts & Probation

Nigeria's National Minimum Wage Act applies only to employers with 25+ employees — smaller businesses are technically exempt, though state-level regulations and market practice often apply regardless.

Item	Detail	Legal Basis
Probation period	Typically 3–6 months by custom (no fixed statutory maximum under the Labour Act)	Employer discretion
National Minimum Wage Act coverage	Applies only to employers with 25+ employees	National Minimum Wage Act
Pension scheme threshold	Mandatory Contributory Pension Scheme for employers with 3+ employees	Pension Reform Act 2014

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
National minimum wage	₦70,000/month	Some states (Lagos ₦85,000, Rivers ₦80,000) pay above the federal floor; next statutory review due 2027
Employer pension contribution	10% of pensionable income (basic + housing + transport allowances)	Combined minimum contribution is 18% (10% employer + 8% employee); mandatory for employers with 3+ staff
NSITF (workplace injury insurance)	1% of payroll	Nigeria Social Insurance Trust Fund; employer-only
NHIS (health insurance)	10% of basic salary (employer contribution, where applicable)	Applicability can depend on company size and sector

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 6 working days/year (rises with tenure; many employers offer more)	Employer	Labour Act minimum — a low statutory floor by regional standards
Sick Leave	Up to 12 working days/year on full pay	Employer	Requires a medical certificate
Maternity Leave	12 weeks (6 before + 6 after birth)	Employer (at least 50% of salary, per Labour Act minimum)	Many employers offer full pay

★ HERO TIP

Nigeria's statutory annual leave floor (6 days) is notably low by regional and global standards — most competitive employers offer materially more to attract talent, and this is a common area where a HeroForce client's offer needs to exceed the legal minimum to be market-competitive. Total employer statutory on-costs (pension, NSITF, NHIS) typically add 11%–21% above gross salary.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer pension contribution (10%)	\$300.00	10.00%
NSITF (1%)	\$30.00	1.00%
NHIS (illustrative, where applicable, ~5%)	\$150.00	5.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,080.00	~136.0%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. NHIS applicability and rate can vary by sector and company size — confirm with your HeroForce EOR for the specific role. Employee deductions (withheld separately) include the 8% employee pension share and progressive PAYE income tax.

Termination & Separation

Notice periods under the Labour Act scale with length of service: 1 day (under 3 months), 1 week (3 months–2 years), 2 weeks (2–5 years), 1 month (5+ years). Nigeria has no general statutory redundancy/severance payment under the Labour Act, though the Act requires "last in, first out" principles and consultation for redundancies where practicable.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
~ March/April	Eid al-Fitr	National (Islamic calendar)
3 April	Good Friday	National
6 April	Easter Monday	National
1 May	Workers' Day	National
~ May/June	Eid al-Adha	National (Islamic calendar)
12 June	Democracy Day	National
1 October	Independence Day	National
25–26 December	Christmas Day and Boxing Day	National

Eid al-Fitr and Eid al-Adha follow the Islamic lunar calendar and are confirmed closer to the date based on moon-sighting.

Ready to hire in Nigeria?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Nigeria employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).